Union Pacific (UNP): what the risk factors added, and what they understate

Risk-disclosure memo · October 19, 2026 · Latest 10-K filed Feb 6, 2026 · ChangeScore 0.196 (2nd of 25) · 20 new risk paragraphs

Bottom line. UNP rewrote its Risk Factors more than all but one of 25 companies, but nearly all the change concerns a single event: the proposed acquisition of Norfolk Southern (about $85bn in equity value at a recent price). The filing understates who bears the regulatory risk. Under the merger agreement, UNP owes Norfolk Southern $2.5bn if regulators block the deal or impose conditions UNP won't accept, and a mostly debt-funded close would lift leverage from 2.5x to as much as 3.7x EBITDA before synergies. Separately, tariffs are the one new risk already hurting results, visible in specific segments but not yet in group margins.

What they added

1. Regulatory approval (severity 3). "In January 2026, the STB announced its finding that the major merger application filed by the Company and Norfolk Southern was incomplete, as a result of which the STB rejected the application without prejudice." A revised application was accepted in May. Opposition filings are due November 18, and the grain shippers' association has voted to oppose.
2. Merger debt (severity 2). "We expect to incur significant new indebtedness in connection with the mergers." The filing gives no amount and calls a leverage covenant "likely."
3. Tariffs (one of five tariff sentences added to an otherwise unchanged paragraph on regulation). "Incremental import tariffs adversely affected demand for our services and increased our costs for purchased goods and services during fiscal year 2025 and may continue to do so in 2026."

Why it matters

- The regulatory downside is one-sided. The $2.5bn Regulatory Termination Fee (merger agreement §7.3(b)(i)) runs only from UNP to Norfolk Southern. That's about 45% of UNP's 2025 free cash flow: painful but survivable. Item 1A spells out only the competing-offer case; otherwise it says fees apply "under certain circumstances."
- Leverage resets. Net debt/EBITDA is 2.48x standalone and 3.1–3.7x pro forma, depending on how much of the ~$20bn cash consideration is borrowed (50–100%, excluding synergies). Covenant headroom depends on synergies arriving. Buybacks ($2.7bn in 2025) are already paused.
- An efficiency leader is making a growth bet. UNP's operating ratio (59.8%) beats CP (62.8%) and CSX (67.9%, worsening), but revenue grew just 1.1%.
- Tariff damage is hidden in the segments. Group volumes rose 1% and the operating ratio improved, but automotive shipments fell 4% for the year and international intermodal fell 24% in the second half, while tariff-related material costs helped push purchased services up 4%.

Questions for management

1. Which conditions would you treat as "materially burdensome," and how does the $2.5bn fee affect your willingness to accept remedies such as trackage rights or line sales?
2. How will the ~$20bn cash be funded, and what leverage, covenant level and credit rating do you target at close? When do buybacks resume?
3. How much of the 2025 decline in automotive and international intermodal do you attribute to tariffs, and what does 2026 guidance assume?

What would change my view

- November 18 filings. Heavy remedy requests from shippers and rival railroads raise the odds of burdensome conditions, and so of the fee. Narrow opposition lowers them.
- Financing terms. More cash funding than assumed would ease the leverage concern.
- 2026 results. Tariff weakness spreading beyond autos and intermodal into group volumes or the operating ratio.

Data note. Sources: UNP 10-Ks (filed Feb 7, 2025 and Feb 6, 2026), the merger agreement (8-K Exhibit 2.1, July 29, 2025), SEC XBRL data, and 2026 10-Qs and STB decisions. New risk paragraphs were found by text comparison and labelled by an LLM checked against hand labels (6 of 6 "new" calls correct; 6 of 7 new risks found on a 40-paragraph test set). The tariff sentence comes from a sentence-level comparison. The 20 new paragraphs describe one event from many angles, not 20 separate risks. Pro forma figures are illustrative and exclude synergies, transaction costs and divestitures. CP reports in CAD (ratios only).